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Standard Commercial Policy: VI Business (India)

1) Executive Purpose and Applicability

The Standard Commercial Policy codifies the financial guardrails, hardware leasing mechanisms, discount threshold authorities, and contract structuring mechanics utilized by VI Business (India) for managed enterprise networks. It establishes absolute clarity regarding commercially viable frameworks versus explicitly prohibited structuring.

Intended Audience: Deal Desk, Finance Managers, Sales Leads, Bid Directors. **Applicability:** Essential for drafting formal RFP Commercial Assumptions, generating OpEx TCO evaluations, and detailing minimum contract duration lock-ins.

2) Definitions and Assumptions

Definitions:

- **TCV:** Total Contract Value.
- **OpEx:** Operational Expense (Subscription/Lease framing).
- **MRC:** Monthly Recurring Charge.
- **OTC:** One-Time Charge.

Assumptions:

- **Internal Control:** Deviations from standard OpEx modeling drastically alter capital depreciation models. Selling core hardware (CapEx) instead of leasing it requires complex Vice President level corporate finance authorization.

3) Detailed Core Sections

3.1 Pricing Baseline and Hardware Leasing (As-a-Service)

- **OpEx Mandate:** VI Business explicitly standardizes on an end-to-end "as-a-Service" connectivity model. SD-WAN Edge CPE (e.g., Fortinet, Cisco appliances), cellular failover links, and core SIEM ingestion licenses are bundled into the generalized Monthly Recurring Charge (MRC) model.
- **Asset Control:** VI retains full capital ownership of all provided hardware throughout the MSA term.

3.2 Billing Commencement Parameters

- **Trigger Condition:** Monthly billing commences strictly 24 hours subsequent to the validation of a site's Zero-Touch Provisioning (ZTP) profile load mirroring the approved LLD, combined with formal User Acceptance Testing (UAT).

- **Phased Revenue Alignment:** For multi-tiered rollups scaling to hundreds of locations, billing scales up linearly as individual branch site batches go live. Sites lacking active WAN delivery remain dormant and unbilled.

3.3 Standard Commercial Protections & Indexing

- **Inflation Indexing Constraint:** For long-term MSAs extending beyond 36 months, extreme inflationary fluctuations exceeding standard CPI limits require mandatory commercial indexing protection clauses or re-negotiation gates defined heavily within the master agreement.
- **Hardware Loss/Damage Liability:** The enterprise customer explicitly bears direct financial liability for theft, vandalism, or gross negligence resulting in physical destruction of edge CPE units positioned inside their premises. Formal 4-hour break-fix SLAs are immediately suspended under proven physical damage scenarios.

3.4 Volume Pricing & IoT Aggregation

- **IoT Cost Protection:** To shield customers from erratic billing variations, massive IoT fleet distributions utilize aggregate Custom APN data pools. Individual endpoint overages do not trigger penalty rates unless the total accumulated organizational limit reaches 100% capacity.
- **Hyperscaler Neutrality:** Network ports terminating at Azure (ExpressRoute) and AWS (Direct Connect) are priced strictly upon the committed bandwidth pipe. The VI Business MRC is entirely insulated from, and does not absorb, egress data transfer taxes levied individually by the cloud provider against the customer.

3.5 Penalty Payment Caps (Liquidated Damages)

- **Penalty Ceiling Strategy:** Accumulated monthly SLA financial credits crossing all tracked KPI parameters (e.g., dropped Hub availability instances up to SOC containment delays) are strictly capped. They must mathematically uniformly never exceed **10% to 15%** of that specific, offending link/service's individual MRC.

3.6 Payment Defaults and Service Suspensions

- **Suspension Clause:** Sustained non-payment of uncontested invoices exceeding 60-90 days past the due date structurally empowers VI Business (India) to initiate a staged suspension of non-critical data flows, escalating to hard port isolation, prior to formal contract termination.

4) Evidence and Proof-Artifact Map

Commercial Parameter	Referencing Ledger	Tracking Owner
Deal Authorization DOAs	`SharePoint/VIB_Finance/Delegation_Of_Authority.pdf`	Corporate Finance
Hardware Break-Fix Fees	`SharePoint/VIB_Finance/Depreciation_Engine.xlsx`	Supply Chain Finance

5) Governance and Ownership

- **Owner:** Head of Deal Desk & Commercial Policies
- **Reviewers:** VP Finance EBU, General Counsel, VP Delivery.
- **Review Frequency:** Annually, mapping identically to macro-taxation and GST adjustments propagated by the Government of India.

6) Constraints, Exclusions, and Dependencies

- **Exclusions:** Legacy third-party telecom termination fees (charges the client must currently pay competing incumbents to break their legacy contracts) will not be inherently "bought out" or subtracted from VI Business (India)'s OpEx proposals without exceptional TCV escalations.